

Post Graduate Program in Management (PGDM 26 - 28)

Faculty Name	Dr Manaswee Kumar Samal	Year/Term	26-28/ T1
Course Name/Course code	Financial Accounting for Decision making (FADM)	No. of Credits	3
No of Contact Hours	30	Session Duration	90 minutes

About the Instructor:

About the Instructor:

Dr. Manaswee Kumar Samal

M.Com., CA, DipIFRS(ACCA-UK), DISA(ICAI), Ph.D

smanaswee@yahoo.co.in

Course Objectives and Key Take Away:

1. Understand concepts, tools and develop critical thinking in understanding financial statements and business.
2. Demonstrate problem solving skills in analyzing business financials by applying concepts, tools and techniques covered in the course
3. Understand business problems, apply analytical skills and demonstrate critical thinking, analytical problem-solving skills

Demonstrable skills (to be acquired):

1. Use of AI for financial forecasting
2. Use of tools for financial statement analysis

Program Outcomes:

In addition to the course objectives mentioned above, students should expect to develop the following by end of the course:

1. Possess adequate functional (domain) knowledge & develop skills to assess business environment.
2. Demonstrate decision making skills through critical thinking and problem-solving skills using appropriate analytical framework, processes & quantitative techniques.

Suggested Readings / Course Materials:

Reading material prepared by the professor shall form the base material. In addition to that, you may follow any text book available in resource center as per your choice. It is advisable to follow a book written by an Indian author as the discussion will be Ind AS centric. For the first five to six sessions, you may also follow any book as the basic stuff is same all over the world.

- Financial Accounting – A managerial perspective by R. Narayanaswamy, PHI
- Financial Accounting for Management by N. Ramachandran, Ram Kumar Kakani, McGraw-Hill
- Accounting: texts and cases by Robert N Anthony, McGraw Hill
- Financial Statement Analysis by Charles H. Gibson, CENGAGE Learning
- Financial Accounting for Business Managers by Ashsis Bhattacharyya, PHI
- Indian accounting standards of ICAI [www.icaai.org]
- International financial reporting standards [www.ifrs.org]
- Hand-outs PPTs/Excel files

EVALUATION COMPONENTS & COURSE OUTCOME:

Table 1. Evaluation Matrix

EVALUATION TYPE	EVALUATION COMPONENTS	Percentage Range
Individual	Mid Term Examination	15%
	End Term Examination	40%
	Quiz (Two minimum, all may be surprise. If a surprise quiz is missed, there will not be any compensating quiz unless the student has availed leave from office prior to the exam time.)	15 %
	Use of AI for forecasting financials	10%
Group & Individual	Project	20%
	Total	100%

Quizzes, mid-term and end-term exams are typically individual components of examination and tests knowledge, application of concepts learnt and problem solving. In addition to quizzes, mid-term and end-term exams, additional assessment tools used include case analysis, assignments, course projects, simulation and role plays.

Course Outcomes

Table 2. CO ASSESSMENT						
Assessment methods	Assessment type	Marks	Assessment tool	CO 1.1	CO 1.3	CO 3.4
Quiz (Two)	Individual	15	Written Exam	15		
Mid Term	Individual	15	Written Exam	5	10	
End-Term exam	Individual	40	Written Exam	5	20	15
Assignment	Individual (Financial forecasting through use of AI)	10	Report			10
Project	Group	20	Report & written test Written test will be combined with ET component.			20
Total		100		25	30	45

COURSE MATERIAL AND HANDOUTS:

Soft copies of course material including case studies will be uploaded on the LMS. Hard copies, (when recommended mandatory by the Faculty in exceptional cases) will be distributed prior to the class (for offline sessions, in campus, only) and will be available at resource center for collection by students.

SESSION WISE TOPICS AND READINGS:

Table 3. Session wise details	
Term 1: Session No- 1, 2 & 3	
Session Title	Accounting Process
Topics to be covered	Accounting Equation Relevance of accounting concepts Accruals Transaction processing

(Topics chosen are in continuation to the topics covered in orientation sessions)	Trial balance Financial Statements
Reading Material	Chapter 2, & 3 of Text book
Additional Reading	XXXXXX
Case Title	DFS Pvt Ltd (Written by Prof M.K Samal) Assignment 1: Lomi & Sons (Written by Prof M.K. Samal) Assignment submission is mandatory for mid term exam eligibility.
Pedagogy	Discussion
Session No-4 & 5	
Session Title	Introduction to measurement of business liquidity, solvency, profitability and efficiency
Topics to be covered	Various measures of profit, capital, value, etc. Use of ratios Operating cycle length measurement Return on equity, Return on capital employed, Return on invested capital, Return on assets, return on operating assets
Reading Material	Chapter -12 of text book
Additional Reading	Hand-out on revenue recognition
Case Title	HUL (download financial statements of HUL for the year 2021-22, 20-21)
Pedagogy	Discussion
Session No 6,7 & 8	
Session Title	Cash flow statement preparation and analysis
Topics to be covered	Direct and indirect method of preparation of cash flow statement Cash flow statement preparation: disconnect between accruals and cash flow Analysing cash flow of companies
Reading Material	Chapter 13 of textbook

Additional Reading	Handout PPT & excel file Chapter-11 of Accounting by Robert Anthony
Case Title	Cases: HUL, Coco Cola, Home depot
Pedagogy	Discussion
Session No-9	
Session Title	Revenue recognition
Topics to be covered	Types of income Revenue recognition criteria Introduction to fair value Aggressive revenue recognition Contract assets Contract liabilities Identify red flags
Reading Material	Chapter 4 of text book
Additional Reading	Handout
Case Title	
Pedagogy	Discussion
Session No- 10 & 11	
Session Title	Inventory accounting and its impact on financial reporting
Topics to be covered	What is inventory Its relation with liquidity Different methods of inventory valuation Retail method Introduction to inventory management
Reading Material	Chapter 5 of text book
Additional Reading	
Case Title	
Pedagogy	Discussion
Session No- 12 & 13	
Session Title	Long term assets
Topics to be covered	Accounting for long term assets: PPE and Intangibles Recognition, Measurement rules Asset revaluation, exchange, impairment

	Depreciation & amortization Borrowing cost capitalization Assets donated or through government grants Analysis of long-term assets Leasing and FSs
Reading Material	Chapter 6 of study material
Additional Reading	
Case Title	XXXXXX
Pedagogy	Discussion
Session No 14 & 15	
Session Title	Financial Assets
Topics to be covered	Cash & cash equivalent Receivables and analysis Factoring Investments: Business models, SPPI test, FVTPL, FVTOCI
Reading Material	Chapter 10 of study material
Additional Reading	Handout
Case Title	XXXXX
Pedagogy	Discussion
Session No- 16 & 17	
Session Title	Accounting for Tax
Topics to be covered	Deferred tax Deferred tax assets Deferred tax liability Is it equity or liability? Implications for analysis
Reading Material	Chapter 9 of textbook
Additional Reading	Handout
Case Title	XXXXXX
Pedagogy	Discussion
Session No-18 & 19	
Session Title	Operating investments
Topics to be covered	How to consolidate financial statements Implication of consolidation Investments in associates and JVs

Reading Material	Chapter 12 of Study material
Additional Reading	Handout
Case Title	
Pedagogy	Discussion
Session No 20	
Session Title	Equity
Topics to be covered	Bonus & rights issue Buyback Dividend Reserves EPS
Reading Material	Chapter 11 of text book.
Additional reading	Handout
Case title	
Pedagogy	Discussion

PROJECT SCHEDULE

You will have a simulated learning through this project. What we understand in the class will be replicated in this component.

The class will be divided into groups of 6 students in each group. After the end of first session each student in each group will be allocated a company. By the end of the second session, each group will designate a group coordinator for all future mailing purpose.

The project deliverables with timelines are indicated in the table below.

Evaluation shall be on the basis of the quality of the report submitted. Each group will handle one industry. **The file to be submitted must contain the financial statements of the companies without fail and all calculations in the excel file must have the trails to the FSs.**

Session -1& 2	Group formation
Session-6	Briefly describe the products or services your company is selling and the market in which it is operating. Describe briefly the business of its competitors vis-a vis sales growth, assets growth, profit growth, and market price growth over the last 5 years. Calculate sales per rupee of asset deployed in the company over the last five years. Calculate sales per employee over the last five years. Do these two calculations for your two competitors. Give your comments.

	Briefly mention business acquisitions your company and competitors have made during the last five years and its impact on sales, profit and cash from operations post-acquisition. Describe briefly the impact of these acquisitions on the company. Know the shareholding pattern, major shareholders, Mutual Fund holdings with changes in the last six months therein, Foreign Institutional holdings, promoters' holdings and pledge of those shares and free float of your company. (Major shareholder: Anyone holding more than 5% of equity shares of the company) Find out the reportable (business) segments as mentioned in the annual report. Calculate trend in sales, asset additions, profit of different segments over the last five years. Find out segment sales growth rates and compare with respective industry growth rates, if available. If competitors are having same kind of segment, make a comparative analysis as to who is doing well in which segment. Know the group structure (subsidiaries and the holding therein). Briefly describe business of subsidiaries. Who are the associates? Has the company got JVs? Know investments made by your company in the last five years ending on 31 March 2023 and changes therein apart from investments in subsidiaries, associates and JVs. Know the major change in financing of your company in the last five years. Calculate your company's share price return compared to sectoral index return, if any, and market index return on a weekly basis for the last one year ending on the date of course commencement. Compare this
--	---

	return with return from shares of your two competitors. Find out which share from these three companies is more volatile (standard deviation). Track major announcements of your company for the last one year and price reaction. You should generate a chart for this. Generate an excel file with text box if required for this deliverable and upload in course web and send through mail styled as Group-X/Student name/Part-1 by 11.59 pm on the day this session happens.
Session-11	Compute profit ratios of your company and compare with two competitors over the last five years ending on 31.03.2023 or the latest year available. To explain change in profitability, do an expense analysis. Find out the trend in sales, profit, asset growth over the last five years and compare with two chosen competitors. Generate a file for this deliverable and upload in course web/send through mail as Group-X/Student name/Part-2 by 11.59 pm on the day this session happens.
Session -17	Project: Analyse cash flow of your company and two competitors for the last three years and give your comments. Generate an excel file for this deliverable and upload in course web/send through mail as Group-X/Student name/Part-3 by 11.59 pm on the day this session happens.
Five days after the 20th session (Part A)	Study BoD's report and MDA of your company and list down major developments that you think will boost future cash flows of the company in one page. Identify major risks your company is facing and describe briefly how the company is managing its risks.
Five days after the 20th session (Part B)	Make an intra-firm comparison for the year 2023-24, 2022-23 & 2021-22 and also make

	inter-firm comparison of financial performance of your company with two competitors for the aforesaid three years. It should cover assessment of liquidity, solvency, profitability and efficiency of the firm. Generate an excel file for this deliverable and upload in course web/send through mail as Group-X/Student name/Part-4 by 11.59 pm on the day this day happens.
--	--

ATTENDANCE

Student Attendance for Sessions

Student attendance for every session will be recorded through Roll call or Biometric in the LMS portal.

Regularity in Attendance

Regular attendance is considered extremely important for effective and wholesome learning in the PGDM. All students therefore, must comply on regular attendance in class. The relative deduction of grade points due to shortage of attendance is explained in the table below. Students having attendance of less than 60% (irrespective of medical certificates) shall not be permitted to appear for the examination in that term/academic year and will carry “F” grade in the course.

Student attendance will be a component while grading them for the course. Faculty / JF have been advised to report about habitual absentees (habitual absentee is defined as students absent in the class for more than three classes consecutively).

Unauthorized absence from class will be considered a breach of discipline and the Institute will be free to take appropriate action in such cases. The same student will be asked to face disciplinary committee. Students will not be given any attendance for any committee related activities which warrants them to drop from the class. They are required to undertake all committee related work beyond class hours. However, in exceptional cases, their absence could be condoned by the Program Office on a case to case basis.

Under extra-ordinary circumstances, students may obtain leave of absence under the following rules and procedures:

- In case of sickness, medical certificate issued and/or countersigned by the doctor along with the prescribed application form must be submitted to the PGDM Office within 3 days of joining classes after illness. No student shall be allowed to join the program unless he/she presents a medical fitness certificate duly endorsed by a Medical Officer.

- For grounds other than sickness, leave will be allowed to students in exceptional cases depending on the genuineness of the case by the PGDM Director. However no compensatory attendance and examination will be held for the period of leave. Students will be awarded grades on the basis of their attendance level and performance only in the classes from which they were present. Before applying for leave to the Director PGDM a student should contact his/her course instructors to ensure that he/she is not missing any quizzes or examinations during the leave period.
- The PGDM Office or the faculty concerned will not be responsible for the student losing any segment of evaluation on account of his/her leave. No compensatory opportunity will be given for quizzes and other class room based components on account of leave of any kind.

Attendance and Performance Grade Penalty

Each student is expected to attend a minimum of 80% of classes in each course. The grade penalty will be imposed on all the students who do not meet the minimum 80% attendance requirements in each course in the following manner:

Table 4. Grade Penalty – Attendance	
Attendance of Student	Performance Grade Penalty
More than or equal to 70% but less than 80%	One grade drop (e.g. from A to A-)
More than or equal to 60% but less than 70%	Two grade drop (e.g. from A to B+)
Less than 60%	F grade will be awarded

If a student gets D grade in a particular course and also gets a grade drop due to attendance shortage, 'D' will become an 'F' grade.

If a student fails to meet the specified attendance requirement, his/her grade in the respective course(s) would be lowered by the Director PGDM in accordance with the grade penalty rules laid down above.

Exiting and Entering

Students are expected to remain in the classroom (online sessions), be mentally alert, and participate in the class proceedings for the duration. If a student must leave early for unavoidable reasons, that student should obtain permission from the professor before the class begins. Leaving and re-entering the class (online session) in the middle is not permitted, except under extraordinary circumstances. Faculty members may cross check the attendance record and if a student is found absent (merely logged in over zoom but not present in the session) in the class, the student will be marked absent besides the case will be sent to discipline committee and actions will be taken by the committee.

Norms of Behavior

Students should demonstrate respect for Faculty and fellow students. Respectful behavior contributes to the enhanced learning experience. Students should refrain from disruptive behavior such as eating, and holding side-conversations. Using laptops during is allowed only on the instruction of the professor. If necessary, the students are expected to seek redress for grievances at a proper forum instead of seeking an immediate solution.

All grievances may be addressed to the PGDM-Director or respective functional heads and in his absence, to the Executive Director. In such cases, a copy should be marked to the above.

Respect the Facilities-

Students are expected to help maintain chairs, display screen, desktop computers, LCDs, tables, window curtains and electrical fittings in good usable condition and not damage them or render them useless. Students are expected not to destroy the classroom ambience. The cost of damage, loss or theft on account of students will be recovered from them. When this cannot be attributed to one student, the cost will be recovered from an identifiable group of which the individual is a part or from the entire batch. Students are expected to use cans to dispose of trash. They are also encouraged to remove defacing or unclean material voluntarily.

Essentially, students should always use proper reporting and escalating mechanisms for concerns and issues. Under no circumstances should students take matters into their own hands. Students are expected to use only the students' dining hall for dining. Classrooms or any of the other administrative or academic areas shall not be used for dining.

Great Lakes has adopted the principle of preserving the environment. Therefore, it tries to inculcate in the minds of its students and staff, a sense of being one with nature causing no harm anytime, anywhere, and under any circumstances which will result in damage to the environment.

Smoking, chewing tobacco and drinking alcohol in and around the premises is strictly prohibited. Severe penalties will accrue to those students caught violating this.

Use of Laptops during class-

Use of laptops in the class is strictly prohibited during class hours, unless specifically authorized by the Faculty or the Academic Administration.

Use of Mobile / other electronic devices

Students are not to use mobile devices for login to zoom sessions and it is preferable to attend online session only through Web portal. Use of any other electronic devices inside the classroom / online session is not allowed under normal settings.

Table 5. LIST OF COURSE OUTCOMES (CO)

Please check the expected Program Outcomes for this course, choose the relevant CO-PO matrix and then proceed to choose the right Course Outcome for assessment.

CO	Description
1.1	Understand business concepts and develop critical thinking in functional areas (e.g., Economics, Finance, Org. Behavior, HR, Operations, Analytics, Marketing, Strategy) [1.1]
1.2	Apply concepts learnt to evaluate business issues or complete business environment analysis by adopting various conceptual frameworks [1.2]
1.3	Demonstrate problem solving skills in functional areas by applying concepts, tools and techniques covered in the course [1.3]
1.4	Develop business plans for products and services [1.4]
2.1	Know professional code of conduct in different disciplines / courses forming part of curriculum [2.1]
2.2	Identify ethical dilemmas in a business case or assignment setting and apply ethics framework to arrive at resolution of such dilemmas. [2.2]
2.3	Exhibit individual and group ethics in academic and non-academic activities during the program [2.3]
2.4	Demonstrate understanding of ethical and societal impact of managerial decisions made. [2.4]
2.5	Work individually and/or in groups and demonstrate social engagement through specific projects, initiatives implemented to serve local community (ies). [2.5]
3.1	Develop effective decision making skills by analyzing complex business issues and learn to take strategic decisions. [3.1]
3.2	Demonstrate problem identification and solving skills through courses and course components [3.2]
3.3	Integrate functional skills and apply them in business contexts. [3.3]
3.4	Understand business problems, apply analytical skills and demonstrate critical thinking, analytical problem-solving skills. [3.4]
3.5	Demonstrate understanding and application of analytics tools and techniques to solve business problems. [3.5]
4.1	GL students will demonstrate effective oral and/or written communication skills [4.1]
4.2	GL students will demonstrate written communication skills through exams, term project reports, case analysis reports, progress reports or assignments. [4.2]
4.3	GL students will demonstrate interpersonal interaction and communication skills through presentation of group assignments, project reports and case analysis associated with courses. [4.3]
5.1	Develop and demonstrate skills related to strategic thinking, planning and execution. [5.1]

5.2	Develop and demonstrate people leading skills, associated with selection, communication, direction and mentoring subordinates and peers in organizations. [5.2]
5.3	Demonstrate new business development skills through business environment analysis, consumer need analysis, creating value proposition and creating a business plan. [5.3]
5.4	Demonstrate ability to lead teams and complete assignments and projects in an organizational setting. [5.4]
